Developing project and digital Start-up

Introduction and Course Overview

Lecture 1, September 17, 2024

Muslimbek Pirnazarov

Today…

- Introduction:
  - Why not everyone is an entrepreneur?
  - Entrepreneurship **paradigm** and **principles**
  - Why most startups fail?

- Course overview:
  - Objectives, structure, and learning outcomes

- Announcement:
  - All course material can be found at: https://moodle.millatumidi.uz/course/view.php?id=107

Outline

- Introduction ✓
- Course Overview and Administrivia
- Why Most Startups Fail?

Hero’s Journey: Basic Ingredients

- Identified by the author and philosopher *Joseph Campbell*:
  - Someone has a crazy idea (*not a hero yet*)
  - People doubt her
  - She leaves the village to pursue her vision
  - She faces untold obstacles, falls into an abyss, barely escapes death
  - But, she persists enough and manages to circumvent all the obstacles and challenges
  - And, eventually continues to a triumphant return (now, *she is a hero*)

- These are the key elements of many great business stories as well!

Behind Every Great Story, a Human!

- Great businesses are created by *people* (like you and me!)
- Many of them indicated that they had sleepless nights and midnight terrors (to an extent that it became a pattern among them that you cannot miss)
- Most of them, at some point, even felt like imposters
- So, they are not natural superheroes
  - But they possess something unique; what is it?

Entrepreneurs

- They took the leap
  - That is basically it!
- They are called *entrepreneurs*
  - They are not chosen
  - They are self-made
- You can be one of them
  - But why not everyone is one of them?

Is it Dangerous or Just Scary?

- We are not good at differentiating between things that terrify us (i.e., *fear*) and things that present real hazards (i.e., *danger*)
  - We're scared of flying, but have no problem of zipping down the highway in our cars at 130 Km/Hr, even though we're ***86 times*** more likely to die in a car accident than a plane crash

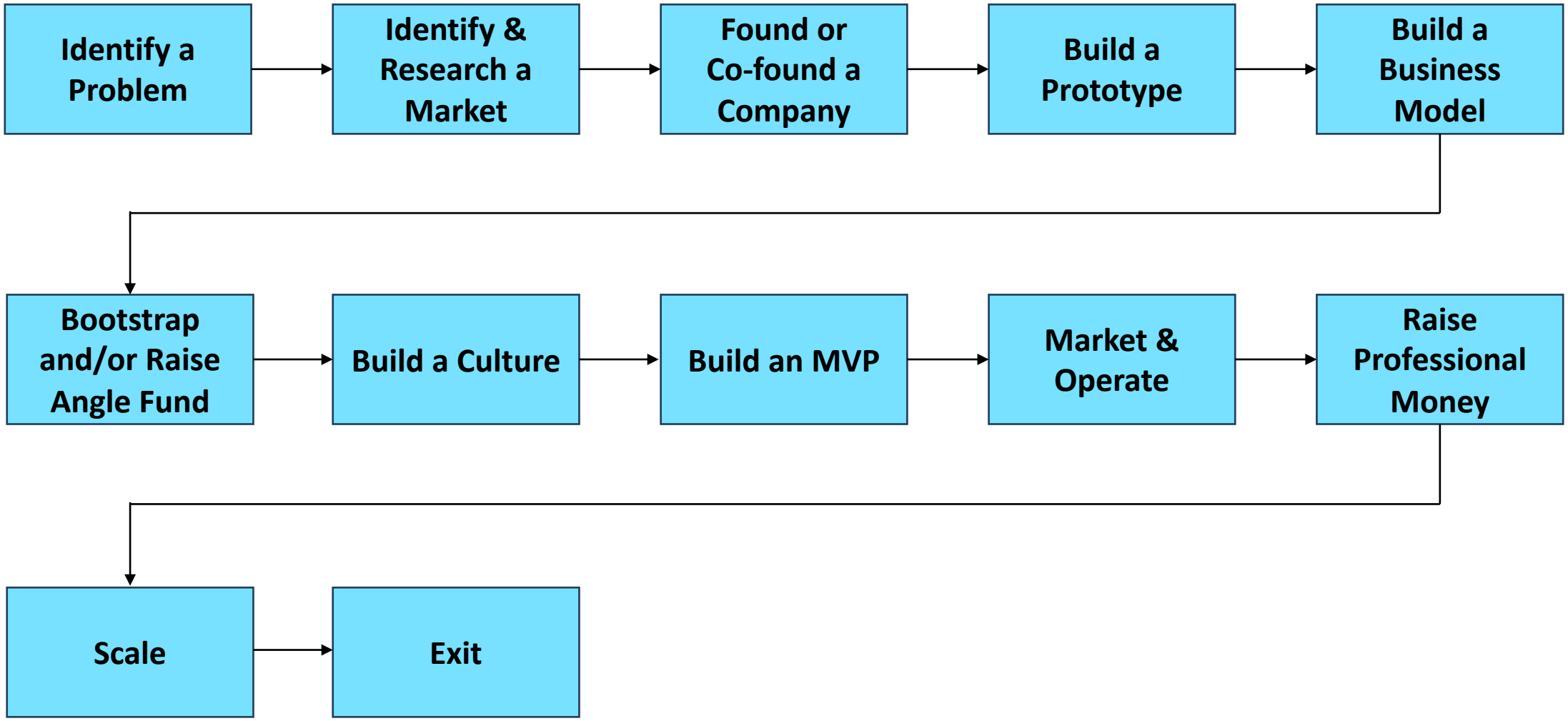
- Why is this?
  - Brilliant writer-scholar *James Fallows* wrote in a 2014 article for *The Atlantic*: "We're more relaxed around things we're more acquainted with"

- Entrepreneurship is NOT dangerous; it is just scary

Entrepreneurship is Not Dangerous

- *Reid Hoffman* (PayPal alumnus and LinkedIn founder) said:
  - "Starting a company is like throwing yourself of the cliff and assembling an airplane on the way down"
- When you measure the jump and carefully pack, check, and triple-check a parachute, it will not be dangerous (*but still scary*)
- This course will teach you how to measure the jump, pack & carefully check a parachute, and assemble an airplane on the way down

Entrepreneurship **Paradigm**: A System of **Functions**



Entrepreneurship **Principles**

- Under each function of the entrepreneurship paradigm, we will study several *principles* that can guide you through the process

- We define a principle as: "*A fundamental truth or proposition that serves as the foundation for a system of functions*"

- These principles are applicable to different industries and startups (they have been extracted from 1000s of case studies)

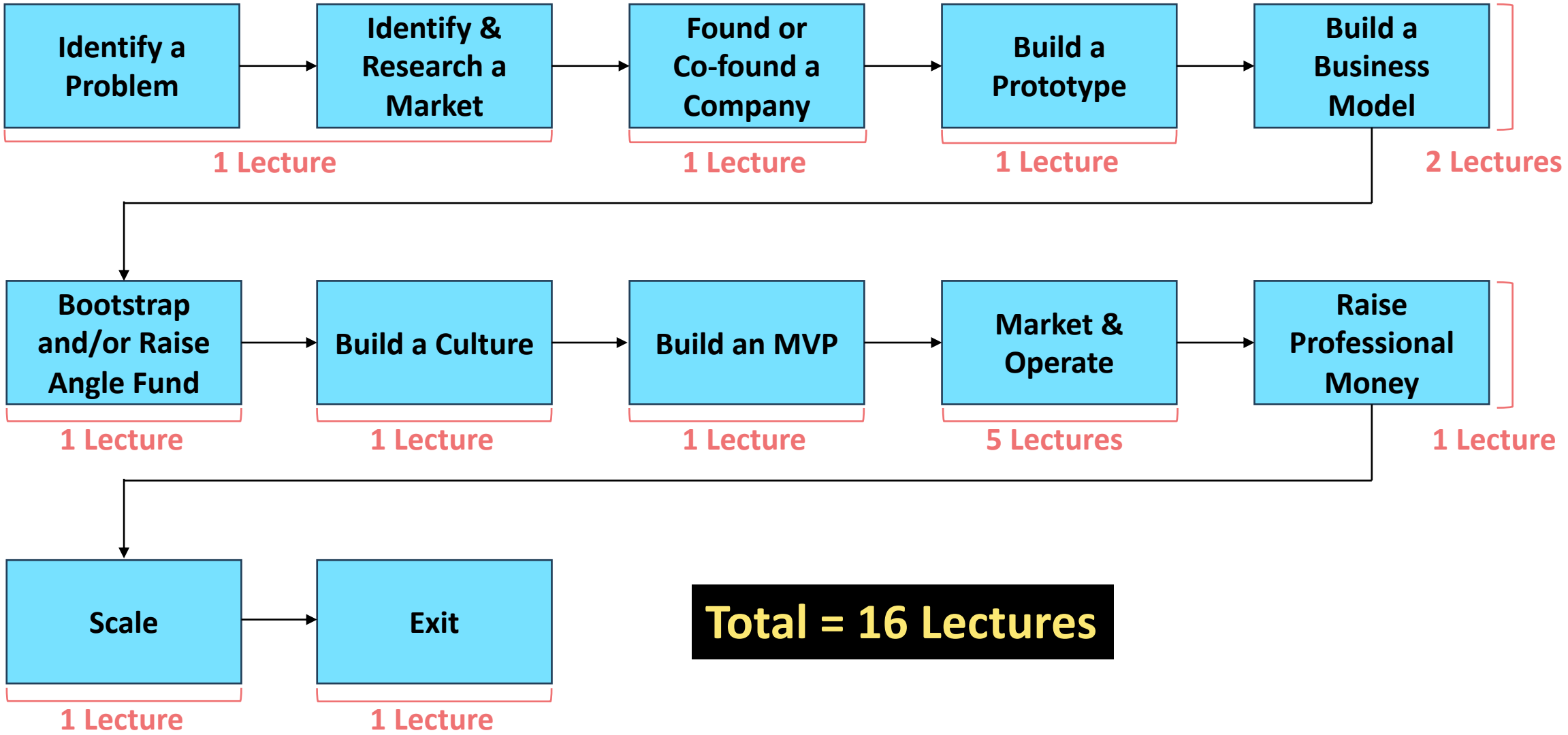
Outline

- Introduction
- Course Overview and Administrivia ✓
- Why Most Startups Fail?

Course Objectives

- Starting a new venture is a serious undertaking with a great deal of risk and sacrifice
- The objective of this course is to increase your odds of succeeding in starting, executing, scaling, and exiting a company
- The course will provide you with:
  - A practical end-to-end paradigm to found and run a company
  - Well-established principles that will guide you throughout the process

Entrepreneurship **Paradigm**: A System of **Functions**



Total = 16 Lectures

Lectures

- In each lecture, we will define and discuss the nuances of each function, alongside presenting 2 or 3 related principles
  - E.g., “Create buzz and engineer word of mouth” under “Market & Operate” (The Hangover in 2009 and Barbie in 2003)

- Several case studies will be presented and discussed, including *Apple*, *Instagram*, *Airbnb*, and *Slack*, to mention just a few

Project

- Each 1 or 2 students will work on a semester-long project for a startup idea that they need to come up with
- Every week, each team will present its progress on their idea
- By the end of the semester, each team will submit a fully-implemented & running prototype alongside a business plan
- In the last week of the semester, all teams will pitch their ideas to a few potential investors and stakeholders

Learning Outcomes

- After finishing this course, you should be able to:
  1. Identify a problem and validate the potential of your idea through testing and market research
  2. Smartly and safely found or co-found a company
  3. Design an innovative business model to monetize and price your idea
  4. Raise angel and professional money using the right approach and standard VC methods
  5. Build a synergetic team and an enabling culture
  6. Design and develop a Minimum Viable Product (MVP) using the lean approach
  7. Come up with a go-to-market strategy, and design and run a marketing campaign to launch your MVP
  8. Operate your business using customer-centrality and financial intelligence
  9. Scale your business through an innovative engine of growth
  10. Exit your business through an M&A or an IPO

Assessment Methods

- How do we measure learning?

Type	#	Weight
Project	1	30%
Presentations and Reports	6	30%
Exams	2	40%
In-class Participation and Attendance	26	10%

Outline

- Introduction
- Course Overview and Administrivia
- Why Most Startups Fail? ✓

The Startup Realty

- The grim reality is that most startups fail

- There are 5 essential elements that serve in making startups successful

IDEA

TEAM & Execution

BUSINESS MODEL

FUNDING

TIMING

What Makes Startups Succeed?

airbnb

Idea	Team	B M	Funding	Timing
10	9	8	6	10

Idea	Team	B M	Funding	Timing
8	9	5	4	9

UBER

Idea	Team	B M	Funding	Timing
8	10	7	7	10

Succeeded 😊

[Based on a study by IdeaLab]

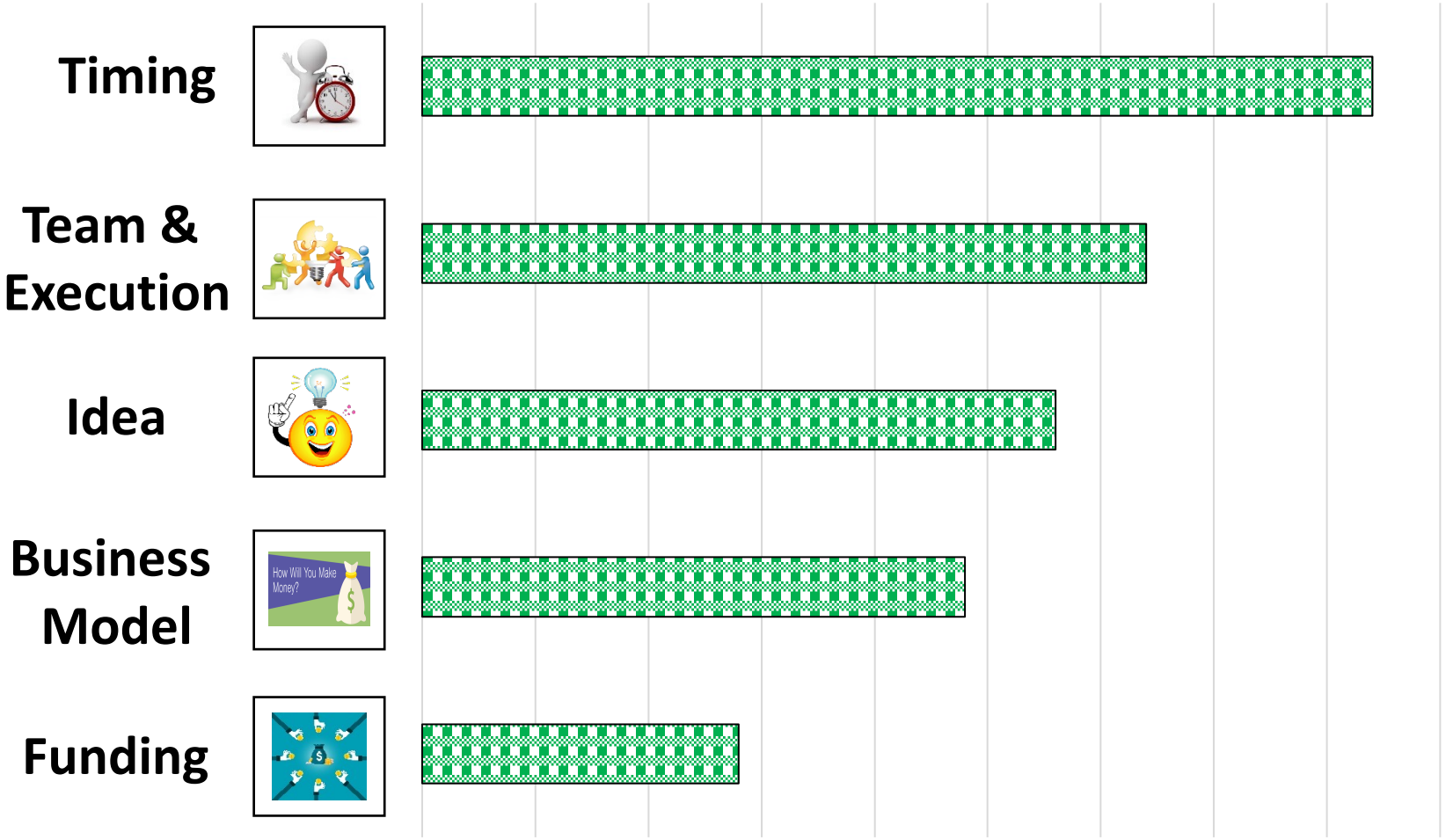
What Makes Startups Succeed?

	Idea	Team	B M	Funding	Timing
friendster	8	5	4	6	6
kozmo.com	4	5	6	10	4
webvan	4	5	6	10	4

Failed 😞

[Based on a study by IdeaLab]

What Makes Startups Succeed?



Factors of success across more than 200 companies

[Based on a study by IdeaLab]

Next Class…

- How to identify a problem and validate its potential?